

the Internet. Just pick a fund company that fits the criteria I mentioned at the beginning of this paragraph, then go to its website to open an account.

One company worth considering is The Vanguard Group (www.vanguard.com; 800-662-7447). (Just for the record, I don't get any kickbacks, discounts, or free slide rules from Vanguard or any of the other firms I mention in this book.) Vanguard is a no-load firm that has some of the lowest expenses in the business and the largest range of stock and bond index funds around. As of this writing, Vanguard's S&P 500 index fund has an expense ratio of 0.15%, one-tenth of the industry average for actively managed stock funds, and its "Total Stock Market Portfolio" (which tracks the MSCI US Broad Market Index) charges 0.15% as well. The only problem with Vanguard is that it has a minimum initial investment requirement of \$3,000 per fund. There's one exception, though: the Vanguard STAR Fund, which has a minimum initial investment of \$1,000. It's about 60% stocks and 40% bonds, and is a "fund of funds," which means it invests in 11 other Vanguard funds. The expense ratio is 0.32%, still much lower than most actively managed funds. So if you don't have \$3,000 at the beginning, once you build it up to \$3,000 in STAR, you can then transfer to Vanguard's index funds.

But what if you don't have even \$1,000? Build it up in your bank account until you get there—or try T. Rowe Price (www.troweprice.com; 800-638-5660). It will let you start investing in its slightly more expensive index funds with just \$50 as long as you commit to invest at least \$50 a month through an automatic plan. (For details on automatic investment plans, see the box on chapter 5.)

If you serve or have served in the military or have a parent who did, USAA (www.usaa.com; 800-531-8181) is a good option. It offers some low-cost actively managed bond and stock index funds, charging just 0.19%. It will also waive its usual \$3,000 minimum if you sign up for its \$20 per month automatic investment plan.

↓ **SOCIALLY RESPONSIBLE INVESTING**

People often ask me to recommend "socially responsible" investments. There are more than two hundred mutual funds that fall into this category, but each has a somewhat different idea of what it means to be socially